What the Data Says About Broad Money

Problems and relationships found in the dashboard, 2011-2023

Indonesia · Malaysia · Philippines · Thailand · Vietnam

Summary: five economies, 2011 to 2023

111%

broad money, % of GDP (average), from 85% in 2011

63

FDI net inflows, US$ bn (five-country total), from 48

4.5%

policy interest rate (average), from 6.0%

107%

trade openness, % of GDP (average), from 106%

Five-country averages from the dashboard's summary cards.

Problem 1: the countries are very different

Broad money

Vietnam is highest in 2023 (155% of GDP), Indonesia lowest (42%).

Trade openness

Vietnam is the most open (165% of GDP), Indonesia the least (41%).

Shocks hit together

Policy rates were cut in 2020 in 5 of 5 countries; 2 of 5 peaked in broad money in 2020 or 2021.

Problem 2: the answer depends on the lens

FDI

Across countries r = -0.17, but within countries r = +0.41. The link appears only over time.

Trade openness

Strong in levels (r = +0.90 across, +0.54 within), but year-to-year moves agree only 26 of 60 times.

Interest rate

Consistent: r = -0.46 across and -0.62 within; 33 of 45 year-to-year moves as expected.

Which variables move with broad money?

Variable	Expected	Across countries (r)	Within countries (r)	As expected, year to year
FDI net inflows	▲ positive	-0.17	+0.41	34 of 60
Interest rate	▼ negative	-0.46	-0.62	33 of 45
Trade openness	▲ positive	+0.90	+0.54	26 of 60

Across countries mixes differences between economies. Within countries removes each country's own average and shows changes over time. Correlation is not causation.

What we can learn

Interest rate: clearest

Costlier credit slows money creation, and the data agree both across and within countries.

Trade: structure vs short run

Open economies have deeper money, but yearly swings do not track trade closely.

FDI: a within-country link

Inflows relate to broad money within a country over time, not across different economies.

Lessons and next steps

- Always compare levels and changes: they can tell different stories.
- Separate differences between countries from changes within countries.
- Check that the causal chain makes sense, then test it.
- Next: panel regression with country fixed effects.
- Add controls such as GDP growth, inflation and financial development.